聯詠科技股份有限公司
NOVATEK MICROELECTRONICS CORP.

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Novatek Announces 2024 First Half Consolidated Financial Result & 2024 Third Quarter Outlook:

First Half Revenue & PAT Reached NT$49.66B & NT$10.28B Respectively With EPS of NT$16.9

Hsin-chu, Taiwan, ROC – August 6th, 2024 – Novatek (TSE:3034), a leading global smart display and image total solution provider, today announced its first half consolidated financial result of 2024 and the third quarter outlook at the analyst meeting.

Revenue, operating expense, and operating income in the first half of 2024 reached NT$49.66 billion, NT$9.8 billion, and NT$10.65 billion, representing year-over-year decrease of 8.62%, increase of 7%, and decrease of 19.4%, respectively. The gross profit margin in the first half of 2024 decreased to 41.12%, from 41.82% in the first half of 2023. Net income in the first half of 2024 decreased by 11.54% year-over-year to NT$10.28 billion, with earnings per share of NT$16.9.

The second quarter revenue was up by 3.29% quarter-over-quarter to NT$25.23 billion from NT$24.43 billion in Q1'24, and decreased by 16.73% year-over-year from NT$30.30 billion in Q2'23. The quarterly revenue increased sequentially due to a combination of pull-ins of TV panels and increased demand from SOC products. The second quarter gross margin slightly up quarter-over-quarter to 41.14% from 41.09% in Q1'24, and exceeded the guidance due to cost reductions and NRE contribution.

Second quarter operating expenses slightly decreased quarter-over-quarter to NT$4.88 billion from NT$4.89 billion in Q1'24 and decreased year-over-year from NT$5.1 billion in Q2'23. Second quarter operating income increased quarter-over-quarter to NT$5.5 billion from NT$5.14 billion in Q1'24 and decreased year-over-year from NT$7.55 billion in Q2'23.

Novatek's 2024 Q2 net income was NT$5.39 billion, which increased quarter-over-quarter by 10.11% from NT$4.89 billion in Q1'24 and decreased year-over-year by 21.59% from NT$6.87 billion in Q2'23. Earnings per share for Q2'24 were NT$8.86, compared with NT$11.29 in Q2'23.

Management expects overall performance for the third quarter 2024 to be as followings:
Revenue is expected to be between NT$27.4billion and NT$28.4billion
Gross profit margin is expected to be between 38% and 40%
Operating profit margin is expected to be between 20% and 22%

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NOVATEK MICROELECTRONICS CORP.

Sales & Profits

Million NT dollars	2Q'24	QoQ	1Q'24	2Q'23	YoY
Net Sales	25,231	3.29%	24,428	30,299	-16.73%
Net Gross Profit	10,380	3.41%	10,038	12,647	-17.92%
(Margin %)	41.14	0.05p	41.09	41.74	-0.6p
Operating Income	5,504	7.00%	5,144	7,550	-27.10%
Net Income	5,389	10.11%	4,894	6,872	-21.59%
EPS (NT$)	8.86	0.82	8.04	11.29	-2.43

Sales Breakdown by Product

Million NT dollars	2Q'24	QoQ	1Q'24	2Q'23	YoY
SoC	10,668	12.06%	9,520	11,059	-3.54%
Driver IC	14,318	-1.51%	14,537	19,327	-25.92%
Total	24,986	3.86%	24,057	30,386	-17.77%

About Novatek

Novatek was established in 1997, specializing in display and image centered total solutions ranging from full line of display ICs and SoC for all display and image applications. The Company is the world's largest supplier of display driver ICs, and is ranked as the world 7th largest and Taiwan's 2nd largest fabless company in terms of sales revenue in 2023. For more information, please visit the company's web site at **www.novatek.com.tw.**



Novatek Microelectronics Corp.
Financial Report 2024 Q2



Issued in Aug 2024

Monthly Sales

MNT$

	2024	2023	+ (-) %
January	8,720	7,223	21%
February	7,133	7,641	-7%
March	8,575	9,181	-7%
April	8,329	9,961	-16%
May	8,439	10,225	-17%
June	8,463	10,112	-16%
July	9,268	9,675	-4%
August		9,694	
September		9,561	
October		9,526	
November		8,949	
December		8,679	
Total:	58,927	110,429	-47%
Jan.~Jul.	58,927	64,020	-8%

Sales Breakdown By Products

MNT$

Product	2024/Q2		2024/Q1		2023/Q4		2023/Q3		2023/Q2	
	AMT	%	AMT	%	AMT	%	AMT	%	AMT	%
SOC	10,668	42	9,520	39	9,598	35	11,082	38	11,059	37
DRIVER	14,318	57	14,537	60	17,218	63	17,877	62	19,327	64
Total:	24,986	99	24,057	98	26,816	99	28,959	100	30,386	100
OTHERS	270	1	462	2	489	2	78	0	51	0
Return & Allowance	(25)	(0)	(91)	(0)	(150)	(1)	(107)	(0)	(138)	(0)
Grand Total:	25,231	100	24,428	100	27,154	100	28,930	100	30,299	100
Growth	3%		-10%		-6%		-5%		26%	

Consolidated Income Statement (YoY)

(Expressed In New Taiwan Thousand Dollars)

	2024/1-6	%	2023/1-6	%	Growth %
Net sales	49,658,904	100.00	54,344,911	100.00	**(8.62)**
Cost of good sold	(29,241,078)	(58.88)	(31,619,285)	(58.18)	(7.52)
Gross Profit	20,417,826	41.12	22,725,626	41.82	(10.16)
Operating Exp.	(9,769,102)	(19.67)	(9,513,332)	(17.51)	2.69
Selling & Adm.	(1,430,533)	(2.88)	(1,363,244)	(2.51)	4.94
R & D Exp.	(8,338,569)	(16.79)	(8,150,088)	(15.00)	2.31
Operating Income	10,648,724	21.45	13,212,294	24.31	(19.40)
Net Non-Operating	1,375,868	2.77	922,035	1.70	49.22
Income Before Tax	12,024,592	24.22	14,134,329	26.01	(14.93)
Income Tax Exp.	(1,742,394)	(3.51)	(2,510,594)	(4.62)	(30.60)
Net Income	10,282,198	20.71	11,623,735	21.39	**(11.54)**
EPS	**16.90**		**19.10**		

Consolidated Income Statement (Q2 YoY)

(Expressed In New Taiwan Thousand Dollars)

	2024/Q2	%	2023/Q2	%	Growth %
Net sales	25,231,019	100.00	30,299,029	100.00	**(16.73)**
Cost of good sold	(14,850,868)	(58.86)	(17,652,206)	(58.26)	(15.87)
Gross Profit	10,380,151	41.14	12,646,823	41.74	(17.92)
Operating Exp.	(4,875,718)	(19.32)	(5,096,493)	(16.82)	(4.33)
Selling & Adm.	(721,221)	(2.86)	(719,939)	(2.37)	0.18
R & D Exp.	(4,154,497)	(16.46)	(4,376,554)	(14.45)	(5.07)
Operating Income	5,504,433	21.82	7,550,330	24.92	(27.10)
Net Non-Operating	619,691	2.45	721,370	2.38	-
Income Before Tax	6,124,124	24.27	8,271,700	27.30	(25.96)
Income Tax Exp.	(735,559)	(2.91)	(1,399,801)	(4.62)	(47.45)
Net Income	5,388,565	21.36	6,871,899	22.68	**(21.59)**
EPS	**8.86**		**11.29**		

Consolidated Income Statement (QoQ)

(Expressed In New Taiwan Thousand Dollars)

	2024/Q2	%	2024/Q1	%	Growth %
Net sales	25,231,019	100.00	24,427,885	100.00	**3.29**
Cost of good sold	(14,850,868)	(58.86)	(14,390,210)	(58.91)	3.20
Gross Profit	10,380,151	41.14	10,037,675	41.09	3.41
Operating Exp.	(4,875,718)	(19.32)	(4,893,384)	(20.03)	(0.36)
Selling & Adm.	(721,221)	(2.86)	(709,312)	(2.90)	1.68
R & D Exp.	(4,154,497)	(16.46)	(4,184,072)	(17.13)	(0.71)
Operating Income	5,504,433	21.82	5,144,291	21.06	7.00
Net Non-Operating	619,691	2.45	756,177	3.09	(18.05)
Income Before Tax	6,124,124	24.27	5,900,468	24.15	3.79
Income Tax Exp.	(735,559)	(2.91)	(1,006,835)	(4.12)	(26.94)
Net Income	5,388,565	21.36	4,893,633	20.03	**10.11**
EPS	**8.86**		**8.04**		

Financial Numbers

(Expressed In New Taiwan Thousand Dollars)

	2024/6/30	2024/3/31	2023/12/31	2023/9/30	2023/6/30
Cash and Cash Equivalents	62,302,712	57,323,668	53,889,468	45,583,206	63,437,035
Short Term Loans	0	0	0	0	0
Net Cash	62,302,712	57,323,668	53,889,468	45,583,206	63,437,035
QoQ Change	4,979,044	3,434,200	8,306,262	(17,853,829)	6,443,000
Notes & Accounts receivable	18,599,796	17,029,983	16,934,522	20,611,687	20,557,090
QoQ Change	1,569,813	95,461	(3,677,165)	54,597	3,609,674
Inventory	9,410,185	9,102,549	8,551,098	9,115,106	10,516,018
QoQ Change	307,636	551,451	(564,008)	(1,400,912)	(75,412)